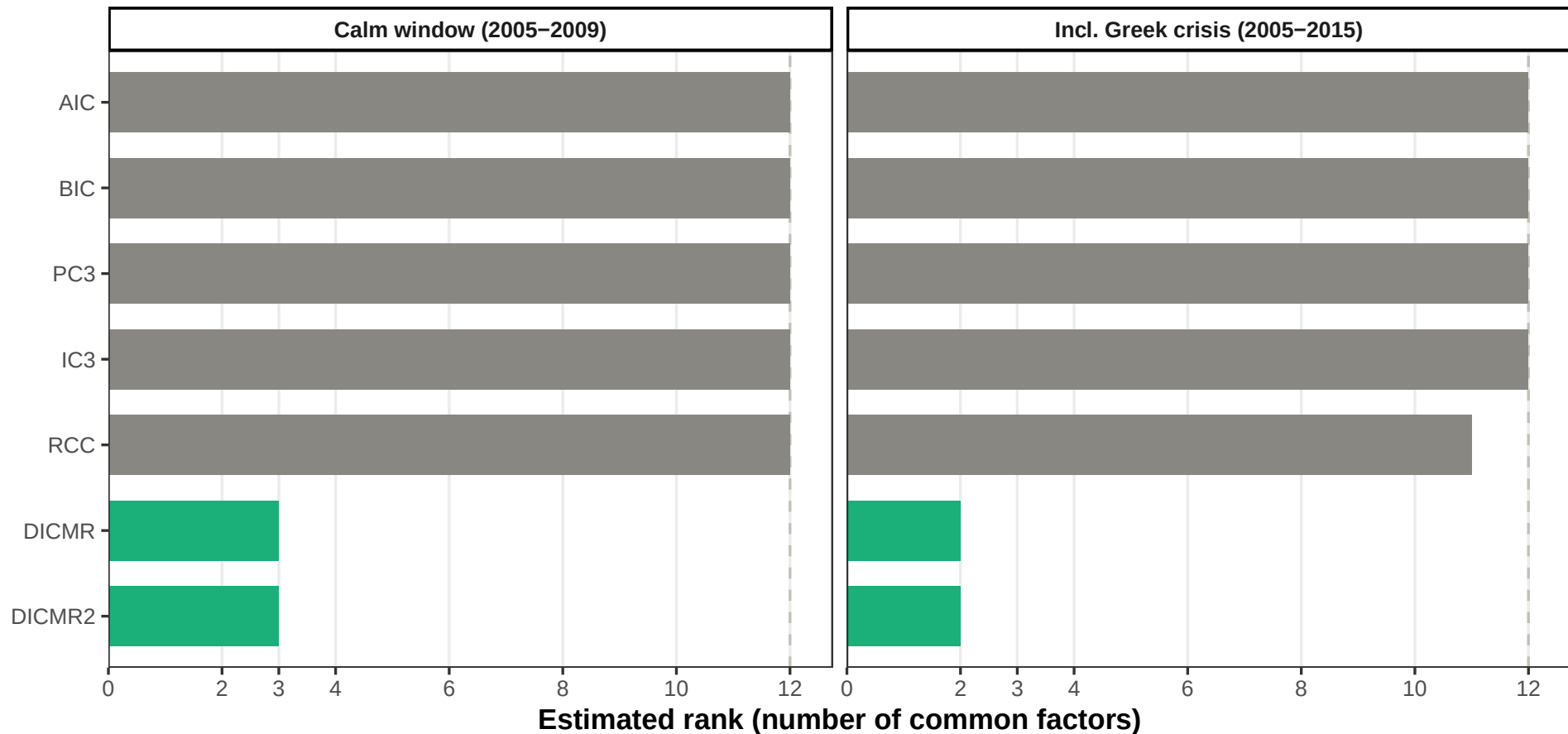


Classical criteria find no structure at all; DICMR recovers a compact factor model

10Y sovereign yield panel (12 countries) -- classical AIC/BIC/PC/IC vs. DICMR



Dashed line: ceiling rank $p = 12$, i.e. no compression at all